“Bajaj Finance Limited Q1 FY-23 Earnings Conference Call”

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Moderator: Ladies and gentlemen, good day and welcome to Bajaj Finance Limited Q1 FY23 Earnings Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sameer Bhise from JM Financial Services Limited. Thank you and over to you sir.

Sameer Bhise: Hi everyone, and welcome to the conference call of Bajaj Finance Limited 1Q FY23 Earnings. First of all, I would like to thank the management of Bajaj Finance Limited for giving us the opportunity to host the call. Without much ado, I would like to hand over the floor to Mr. Rajeev Jain, MD and CEO of Bajaj Finance Limited, Mr. Sandeep Jain, CFO and the entire leadership team of Bajaj Finance and its subsidiaries is also with us on this call. Over to you Rajeev sir. Thank you.

Rajeev Jain: Thank you, Sameer. Good evening, good morning, or good afternoon, depending on which part of geography you are in. I will take you through the quarterly results from the investor presentation on the investor section of the website. And I'll be referring to that. Let's jump right in.

Let's go to panel four quickly. Principally, I would say an excellent quarter. The word excellent I'm using after a long time, last two years we've had, we have got into good, we finally got into excellent. Across balance sheet growth, portfolio quality and profitability. Highest revenue customer acquisition in Q1, overall very strong start to the fiscal I would say and as our previous Vice Chairman used to say, that if your first quarter is good, then in general your year is good, and we've seen that happen over time over the last 15 years. In general back to all long-term guidance matrix for last three quarters in a row now. On track to go fully digital across all products and services on app by January 23 across all products and services and on web across all products and services by March 23.

Core AUM came in at 204,000 crore, core difference being IPO financing which still used to sit till third quarter depending on the quarter ending. Core AUM came in at 204000 crore it's a 31% year-on-year growth, OPEX to NIM came in at 34.9%. PAT came in a tad below 2600 crores to 2596 crores. ROE annualized 23% and net NPA came at 51 bps.

Let me just take you through some of the highlights. Let's go to panel 5. As I said core AUM just a tad below 12,000 crore growth, quarterly run rate that consistently gives us anywhere between 50 to 54,000 crores of net balance sheet growth in the current year is really how we're looking at it. AUM growth was secular across all lines of business I'll cover that. Company did 7.42 million loans, it's just about the highest that we've ever done. As a company the last was 7.6 million but at that point I used to have wallet loans and REMI loans which, wallet loans we stopped in 2020. Remi loans we curtail to less than 25% of the volumes. So, if I knock that off, it's the highest ever loans that we've done in a quarter as a company. B2B disbursements were

up 83% year-on-year numbers are not that comparable, given the last year was delta but still refer to them on and off, overall 16,000 crores of disbursements that gives us a 60-64,000 crores of run rate on overall B2B disbursements for the year. We launched our non-captive two-wheeler financing business on 6th of July, first month we should land up doing 3500 two-wheeler loans. Comes with a two-wheeler marketplace ,pre-approved limits, out of 33 million EMI card customers 30 million customers were pre-approved for non-captive two-wheeler and full point of sale infrastructure that we built over the last 15 years in the B2B space.

We added 2.73 million new customers to the franchise, pretty comfortable with nine to 10 million new customer addition on a full year basis. Overall franchise came in at 60 million and the cost of franchise which we are willing to do multiple products, cross sell is just a tad below 35 million. Added 82 new locations from omnipresent standpoint, total geographic presence now 3,700 locations. Competitive intensity continues to remain elevated across products, we continue to focus on margin rather than growth. Margin first, growth second, we've so far managed to deliver growth, started to increase pricing across all the products gradually from June 22. We took first action in June 18, second action in August, and so on and so forth. Cost of funds came in at 6.64 given the strong ALM that we managed, the overall strong treasury management, the impact of interest rate hikes on the overall cost of funds in the current fiscal will only be gradual. So, even if you see sequentially, the margin is dropped, I don't recall right now, but we have dropped sequentially, seven basis points. So, overall, we managed Treasury quite well. And as we plot over the next three quarters and do simulation insensitivity, we are reasonably comfortably placed here.

Deposits booked; we think it's a great time to gather deposits. So, we continue to grow that rapidly, net growth was in a way sequentially 10% odd. 20% of the overall borrowings, we did four hikes , sequentially we increased deposit rates by ,55-70 basis points depending on the maturity. We are accelerating retail deposits; we think it's a great time and we think in a three-year horizon we can take this to 25% of our overall liability profile. August remains 35.9%, we continued to invest in teams and technology, given the deep investment that we are making in our omni channel/ omnipresent strategy, which is geo, app, web, and payments. We expect OPEX to NIM to continue to remain between 35% and 36% for FY23. Hopefully, we should start to see some tapering as we exit the year.

Loan losses came in good 755 crores included a 190-crore impact on full provision of, full provision and right off of a commercial account. So, adjusted were at the and management overlay came in at 1000 crores, so 60 crores in a way was consumed from the management overlay and 130 crores was a onetime provision in Q1. So, the flow basis loan loss provisions were actually 625 crores. So, that's really the run rate that as we are looking at the risk matrix across portfolios is what we are seeing. GNP and NPA came in at one of the historic lows at 1.25% and 51 basis points. Now, this number will as it seems at this point in time will continue to trend downwards for the next two odd quarters.

Stage two came down by 300 odd crores, stage three came down by 600 odd crores, 10 portfolios are green, one is yellow, this was the same view even in Q4. PAT while it grew 159% as I said year-on-year metrics are not really comparable, but 2,596 crores is the PAT for the quarter. Capital adequacy quite strong a 26%, tier I capital was 23.84, mind you this includes 2500 crores of capital infusion that we did in BHFL on 7th of April. Total headcount stood at just a tad below 38,000.

Bajaj Housing Finance will now start to provide a little more texture and color on Bajaj Housing Finance:

AUM was up 40% at 57,500 crores. Home loan AUM grew 41%, loan against property AUM grew 33%, and LRD grew 43%, developer finance grew 68%. The mix, however, is, as you see on Point #25 is 63% is home loan, 11% is LAP, 13% is LRD, DF is 6% and rural is 4%. Now, so read the growth in the context of the portfolio composition.

Approvals grew 127% came in at 16,000 crores. Disbursement grew 118%, came in at 9255 crores. Geographic footprint was 158 locations. Overall, pretty strong position, the company delivered a post-tax profit of 316 crores, a growth of 96%. OPEX-to-NII came in at 26.8%. Loan losses and provisions were only 7 crores for the quarter. And we are very well covered there, gross NPA, net NPA came in at 27 basis points and 11 basis points.

Overall Stage-2 for BHFL was 492 crores came down as you can see sequentially 105-110 crores, stage three came down by 12 odd crores total headcount in that company stood at 3567 people. Bajaj Financial Securities 36,000 customers we added, we are as I have articulated in Q3 and Q4 we are re-pivoting towards customer who loses their account rather than customers. Just for the sake of it, we have sufficient number of customers, we have 60 million customers, we don't need customers, we need active customers. So, we are re-pivoting total franchise to that 370,000 odd. Margin trade financing book is now 740 odd crores and made a profit, so they are new kid on the block. And as I said in the AGM just now, that next year should belong to them. The last year anyway and in the current year would belong to BHFL as a subsidiary, and by next year BFSL should also be read.

Very quickly, omnipresent we have now changed the format. I'm providing update I'm not going to spend too much time on it. This is more from a disclosure standpoint is where we're headed, but more importantly we are now starting to provide data. And we'll keep adding on this data as we go along in the balance of the year. So, more products will get added, in the process more metrics will get added. But just on the panel 10 what is relevant and important is, the Phase-1 our platform is live, as you're aware phase two will have three sprints. We last provided an update on this in November, this is the second update I am providing, I will provide final update in January quarter. By the time we would have gone live with two major sprints, which is the 31st of August sprint and 15th November sprint a very small residual less than 10% work would be left on Sprint-3 which is on 31st January. Actually, by then even that would have be close to going live. So, that is really when we will go at the next update, some texture and color and how

the UI and the UX will look like in the new phase. Principally three, four by means it's a significant expansion in the way the asset is being organized.

Payments, Phase-1 features are live as you're aware, I gave some texture and color even in the AGM. Just now we are continuing to move along. Sprint two on payments will go live by 15th November, it's a big sprint, it will allow the whole lot more features and much better experience on UPI registration and so on and so forth.

On the platform, two phases, Phase-1 will go live on 1st October and phase two on 1st March. As I said in AGM, that fundamentally by March 23 across all our products and services, products that we manufacture and products that we distribute end-to-end, journey-to-journey we would have actually fully gone digital. So, our digital transformation, as I would like to call it would have actually completed by 1st of January 23 or if I say including web, app equal to web by March 23. So, we'll provide the next update on this by January.

The reason I'm also saying will not provide update after that because as I have said, that is a means to an end. This way we will conduct business from here on. So, if there's anything, if there's a big change in UI, UX, is there is a full refresh that we're doing that's when we go and up date. Otherwise, we'll after January, .

What I want to spend two-three minutes on is in this panel, which is Panel #12. We now start giving some data on our omnipresent strategy. So, I'll go a little slowly so that we're all on the same page. Just to provide the format of it.

Locations, you are aware, gold loan branches now we have 155, just on omnipresence we will have 232 standalone gold loan branches by the end of the year. These are, so we have 650 branches from where we offer gold loans, but 155 are standalone branches. We will do another 75 more branches in the current balance of the fiscal to get to 232 standalone branches.

On app metrics, so there are four blocks between slides 12 and 13. There are app metrics, there are app payment metrics. There are app business metrics, there are marketplace metrics and digital EMI card metrics, this is really how we will provide data, what we will keep expanding the scope of these lines or rows as phase 2 gets delivered.. We feel has reached level of maturity for us to start to share this. And when I say maturity, I mean stability of the data rather than anything else.

Let us quickly cover app metrics, downloads in the quarter we had 11 million downloads, we forecast that will have 53 to 55 million downloads of the new app platform by end of the year. Net installs are 23 million now. We'll end the year between 35 and 38 million. In app programs are 62, we'll have 100+ in-app programs by the end of the year.

In terms of wallet accounts, we added 9 million we expect that we'll have 18.5 million cumulative wallet accounts. UPI annual forecast 12 million, UPI handles we have 3.6 million UPI handles as of now. We had 2 million bill pay transactions, we forecast on a full year basis

we will have 12 odd million. QR deployment has gone live for P2M, 18,000 we think we'll have 100,000. The P2P QR will go live in another one-month time that will be a separate line just to give you texture on what I mean, nearby as how more lines will get added..

These are app business metrics. As I said technology is a means to an end, this app was never supposed to be anything else, but help us do more business, help us grow our AUM, help us eventually reduce our costs, help us manage credit better, risk better. So, digital EMI cards acquisition, overall, 5,22,000, but from the app came in at 70,000. Now overall, we expect 325,000 digital EMI cards acquisition through the app.

Personal Loan disbursements are 2109 crores in the quarter, we expect full year to be between nine and 10,000. Credit cards were 30,000 we expect 200,000 on a full year basis. Flexi loan transactions were 866,000 transactions pay in and pay out both now we expect between 3.6 to 3.8 million. DMS receipts, clients came and paid 644,000 in the quarter, we expect in a full year basis 3 to 3.2 million. Bajaj mall visit 32 million in the quarter, we expect 140-250 million visits to Bajaj mall. To Bajaj mall loans, and so on and so forth. So, I thought I will just provide a drift to the frame. And as I said, we'll keep adding more rows may not be columns as we continue to provide more disclosures.

And let me just jump right on to panel 46 now. So, that I can leave time for questions. This is the consolidated AUM as you can see, what is relevant is, on the right-hand side which is what was the AUM composition 30th June 21 and AUM composition 30th June 22, 7% was auto finance is now down to five. Rest of the lines are all remaining plus minus very similar, of course that is the financings going away that's the conversation on core AUM. Commercial lending 6% and Mortgage businesses at 31%-32%. Product mix remaining same, largely as you can see other than auto finance business. This is the provisioning coverage overall gross NPA, net NPA situation continues to go down 1.73% in December quarter down to 1.6% and now it's at 1.25%, net NPA down from 78 basis points to 68 to 51 basis points. This is consolidated ECL provisioning, we are pretty strongly placed there.

Just on the last portfolio quality section. As I said, out of 11 businesses 10 are green better than pre-COVID, I would say at this point in time, in most of them and while two-wheeler looks to be better than pre-COVID as you can see in February it was 86. But even in February 20 we had marked this as yellow because 86% is not what the current portfolio ought to be. It used to be 89%-90% so as and when it gets back to 89%-90% that's when we will principally make this green. So, that's really the quarter and happy to take questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from line of Dhawal from DSP. Please go ahead.

Dhawal: I had two questions. The first one was related to the cross-sell rate. So, I've been seeing that it's been improving in the last few quarters. But if you look at adjusted for the wallet loans that we used to offer pre-COVID, and also the REMI business, I know you've scaled it down, but even adjusted for that, it used to be about 7%, pre COVID. So, still the cross-sell rates are not back

yet. And there is significant scope for normalization. So, I just wanted to understand when you see this sort of playing through and also, is it a value proposition issue or a risk filter issue, if you could give some more color around that that would be useful. That's the first question.

Rajeev Jain: What do you mean by cross sell ratio of 7% because we are not able to correlate?

Dhawal: No, so what I am referring to, if you look at wallet loans and REMI, they used to contribute about 7% of loan bookings pre-COVID. Today, if you've scale them down to zero as well, still, the current cross sell rate is materially lower than pre COVID run rate. So, because the franchise has grown, the loan bookings adjusted for them are still not grown in the same proportion. So, that's where I was coming from that, when do you expect this normalization and is it a value proposition or a risk filter or any other factor that is driving this behavior. And the second question was related to, we've seen on NII to OPEX, so cost to income basically. So, we've seen conversion rates on the EMI store improving, we've seen a share of digital EMI cards increasing. So, all the metrics seem to be operating in the right direction. But I just wanted to understand as we complete our transformation journey at the end of 23, what could be a realistic expectation of OPEX to NII, maybe in FY24 or beyond, if you could give some sort of perspective around that, that would be useful. Thanks.

Sandeep Jain: So, on the cross-sell rate Dhawal, in fact if you were to adjust the wallet loan, and REMI loan, the cross-sell rate is up versus where we were, let's say in quarter three or FY20 which was a pre pandemic period that we are referring to. So, so maybe can we reconcile the number, but we added 2.5 million customers in that quarter. In the current quarter, we have added 2.74 million new customers and number of loans are by and large same. And if I were to remove REMI and wallet that used to do, earlier which would get counted as cross sell, the ratio actually improved.

Dhawal: Okay.

Sandeep Jain: On the OPEX stream Dhawal we had guided even in the last quarter, given that we continue to invest in technology teams and the sourcing for propagating the omnipresence business model. The OPEX to NIM for the current year may remain elevated 35.5% to 36% in the corridor that we are looking at for 4-year perspective. Quarter one we have seen the number. I have reasons to believe that quarter two could be flattish and then after that, you will start to see some gradual reduction.

Rajeev Jain: Separately, because he's asking actually more so 24, look fundamentally we do believe that we've reached the and we've taken that decision that we've reached the level of inflection point on investments and mainly our investments is people in technology. So, we've actually taken a pause from 1st of July till let's say 31st of December at a design level to not add incremental resourcing on additional investments. So, because we also want to see the investments start to pay off. Plus rising interest rates environment, plus expected demand slowdown in Q3, so between both these areas one being prudent about making an investment pause from approach standpoint and two given headwinds on potential demand slowdown in third quarter rising interest rate. So, that's where we are, and Sandeep guided on where we think it will go in 20 to

24. We're also, let me be honest with you still trying to find the sweet spot. Because the fact is, it's a significant investment committed by us to build our both app and web. The fact is, will operating leverage emerge, the answer is yes. As we start to see it, we can guide better rather than make a point. Lastly, 35-36% with geography, app, web, and payments, all firing it's a great number. That's a second order point, but I'm not the judge for that you are, is the point I would make.

Moderator: Thank you. Next question is from the line of Bharat Shah from ASK Investment Managers. Please go ahead.

Bharat Shah: If, I have to put it graphically so as the pandemic clouds have receded, Bajaj Finance sun has come out blazing. So, delighted to see this results that one has been waiting for. When I looked at the asset quality, there seems to be dramatic improvement on GNPA. So, is that actual improvement or write off say occurred?

Sandeep Jain: Actually, write off for the quarter are not, of course we have written off the commercial account, that's one part of the conversation. But actually write offs if I take the last three quarters is flattish, other than the 390 crore account that we have written off, there is structurally significant improvement in asset quality Bharat, at a design level, I just said even in AGM, that if I take of course, leave 20-21 and 21-22 aside, 19-20 was a slow year we ourselves, if I take till February, when 260 odd basis points of average credit cost to AUM. 18, because it was a slow year in general for the economy as well. 18-19 is the right number to benchmark, we will probably look closer to 18-19 at this point of time, four months of the year are over, maybe even lower, if the current momentum was too nervous to continue. So, there is marked improvement is what I would say.

Bharat Shah: That's delightful. And giving that above philosophical stance always has been trinity of superior growth, superior capital efficiency and control superb asset quality. All angles seem to be kind of now firing appropriately as soon as challenging they kind of receded. So, given the fact that people, technology, products, medium through which we enhance our footprint with a distribution and products and all that. What would you say will be the most important priorities from the next year onwards? So, what is it that you will be watching most closely?

Rajeev Jain: So, one, I'll make a philosophical point, I have said this in AGM that our business of retail is about everyday improvement. We cannot let that guard down, in all dimensions of our business that's an important point I must make. There remains tremendous opportunity in all our lines of business from a growth standpoint, other than IO if I may say so, in the sales finance business, because we are very, very dominant there and more people are getting into the business, every new incremental guy, whatever he does to him says but does keep away something from our end. So, other than that, the growth opportunities in every line of business remains structurally from a medium-term standpoint, quite large. And we are very investing in each one of areas, as we get to next year, Atul Jain here with me as a Managing Director of BHFL, mortgage will fire much more as they complete their fifth year of transformation will fire much more. BFSL should

start to fire more so, we as a parent BFSL should continue to fire more. So, overall we need a cleaner runway, country needs, I would say for a little while, a cleaner runway, two years will be very, very hard. So, I am not seeing, of course is interest rate an issue, is potential demand slowdown an issue, as I tell people that we are used to interest rates going up and down as a country. We see over eight quarters interest rates go up over the last 15 years up by 225 basis points, then they go down 200-225 basis points and so on and so forth. So, we need not be as worried about interest rate rises and going down, then as the West, we're used to inflation. So, I would say we are reasonably well placed as a nation I would say or as a company at a micro level and remain at it. That's an important dimension, not let the guard down.

Bharat Shah: Fantastic. So, just last point, as we run through our elevated investment in people, technology, creating other platforms to satisfy our ambition and our kind of escalations. It will be fair to say now that things are indeed beginning to look kind of normal in most respects. The next step should be once again a defining gear the way Bajaj Finance picture has always been. Even though pandemic has been a rude interruption, but we have shrugged it off beautifully. And therefore now we hold preparations either being clear, 24 should be a year of firing, I hope on all cylinders.

Rajeev Jain: I think so, we will go fully digital, we would have, I keep telling people that digital is a magic until you get it to zero once you get it as one. So, it's a 0 and 1 and we are committed to get it. We as the management are behind it, in some you would have found one, in some we would still be zero, it's a matter of time before we will find it. And as we find it given the large franchise, and the large product that we bring to the table, the entire product suite we bring to the table should be a stronger year and I hope so. We will take quarter at this point in time, and year ahead we delivered the next three quarters, a stronger exit, and a stronger entry into next year should make us stronger.

Moderator: Thank you. The next question is from the line of Ashish Sharma from Enam Asset Management. Please go ahead.

Ashish Sharma: Couple of questions one on the fee income side, is there any, the bank that we have tied up RBL Bank if there is a slowdown in terms of car addition, so any impact on the fee income side Rajeev, first question is that and second would be on the gold loan. So, you mentioned that we are opening standalone gold loan branches. So, just from a perspective that we've seen that gold loan yields have compressed for the system, does the gold loan product still make sense, I am just trying to understand given that we have open standalone branches so some color on that would be helpful Rajeev.

Rajeev Jain: So, we have a deep strategic partnership with them. In partnerships, you have ups and downs. We are not a partnership for up, we are a partnership or up and down, we remain committed to continue to partner with them in an given year there may be slow for the last prior to that for four years they were strong. That's really the nature of partnership is, parallelly as agreed with them and given our ambition we've kicked off the DBS partnership that has gone live. We are

now booking between nine and 10,000 accounts within will exit with 30,000-40,000 accounts between 30 and 40,000 accounts per month with DBS partnership as well. So, that the hedge that we wanted and because we know in partnerships, things can at times be up and down, this is really where having multiple partnerships structures. Deep and strategic albeit help, and I am hopeful with the changes in RBL, and they have said whatever I've seen in public domain that they want to grow their microfinance of the card business. I'm hoping and we are well positioned to assist them to meet that objective, and in the process help us grow as well. parallelly, DBS partnership should grow, that's really what. Gold loan it's a interesting business, we've been added for a while, we have come to a conclusion that as an adjunct frame, which means in the branch during the business only takes you that far. So, we started the test with, quote, unquote standalone gold loan branches the way gold loan company would do. And we've seen significant results, we've seen that it exactly works out then for a leading gold loan player. So, that's really what we are chasing, behind it we put the power of digital. One of the metrics that sometime in Q3 or Q2 we will start to release this how much business coming digitally from a conversion standpoint from a franchise on gold loan, just to give you texture. It's one of the metrics sometime in Q3 or Q4 you would start to release. We are quite satisfied with the return profile. It's not diluted Bajaj Finance shareholders at all or to us as a company and there is opportunity to improve that profile as we go along. So, only thing that business did very well in FY21, then 22 gold loan rates came down. And went through a shock, I would say because it's commodity link, right now it's again looking up. But overall we are quite positive and optimistic about the business, and we think in a two-to-three-year horizon this could be a reasonably large business.

Ashish Sharma: Great. That's helpful, Rajeev. Just lastly on BHFL, the profitability was quite strong are there any one offs or because ROA and ROE metrics look very good, is this the sustainable run rate or are there any sort of one offs?

Rajeev Jain: Standalone there is, on consolidated there is not.

Sandeep Jain: BHFL has grown reasonably well, even in terms of balance sheet they have grown at 40% versus last year. In the current quarter, they have done some assignment transaction, which results in upfront level recognition but on a consolidated basis that we have knocked off. So, there's a one timer sitting in DHFL financials but on a consolidated basis there is none. Secondly, as the interest rate starts to go up, as you would have seen with other housing finance companies also, the spread for next two, three quarter may look elevated, that's also a benefit that's sitting in the quarterly result.

Rajeev Jain: Because of a better treasury management that passed through on the liability side is slower because of our long-term locking,

Ashish Sharma: Sure, that's helpful. And congratulations, first of all and all the best Rajeev for the very bold guidance you've given at the AGM. Thank you.

Rajeev Jain: I thought two lakh crore is a good time to give a guidance.

Ashish Sharma: Absolutely.

Rajeev Jain: We don't give guidance generally. Two lakh crore is a right time to give guidance, will give next guidance when we achieve the guidance that we have given today.

Moderator: Thank you. Next question is from the line of Kunal Shah from ICICI Securities. Please go ahead.

Kunal Shah: So, firstly, with respect to the housing finance business, in fact the free income which is there maybe what would have led to that I don't know if you have explained it earlier, but I missed the part of the call. And it seems like we are growing more of a LRD and construction finance out there. So, any particular proportion wherein we would actually want to take that, in fact ticket size is also rising on the LRD side. So, how are we particularly seeing this?

Rajeev Jain: I'm sorry, we lost you in between.

Kunal Shah: No, I was saying that.

Rajeev Jain: The two second point that you were making?

Kunal Shah: So, the overall LRD and developer finance book, so LRD also the ticket size is rising now developer finances almost 7% of the book and all put together it is like LRD plus developer finance is 20% now. So, any particular proportion wherein we would want to take that up to, over a period, because that's growing at a much faster pace within the overall book?

Rajeev Jain: The risk profile is structurally different, that's a fundamental one, I would like to grow LRD more, we have done the business for 12 years, even though pandemic where offices were all, you know we've all lived through the pandemic. LRD is a very different risk profile than DF. So, read them, don't read them as commercial exposures, they are commercial of course they are. But I would like to do more LRD than I would like to do, let's say LAP, or I would like to do more LRD, when I would like to do home loan let me make a point, at the design level. So, let me just make that point, distinctly clear. So, DF we've been at it, as you can see it's 4%, now come to DF. That's why I rightfully made the point that you look at the growth percentages in the context of the contribution of the balance sheet. We've been in DF now for, we've been at DF for five years more, five, six years has been to 2%, 3% of the balance sheet, we will see no hits in any given manner. It is a good business, we built capability, and domain expertise after five, six years of business, and we feel comfortable growing the business. Our exposures are still a lot more granular. Our exposure in DF remains at between 25 and 35 crores, you don't want to take chunky exposures, which is not so the case, let me make a point and LRD we are a lot more comfortable. We are, it's a two layers of risk management that we do naturally as a lender gets, we are taking so we willing to take even a 400, 500 crore exposure in LRD, but in DF we want to remain between on an average between 25 and 35, maybe do a big exposure 100, 120 crores. So, that's I wouldn't club them together. Atul, anything you want to add anything.

Sandeep Jain: No, see as Rajeev has rightly called out that LRD is over the cycles also, it's not today even if you look at the industry cycle or over the cycles, the construct of LRD if it is backed by the marquee laces which is the construct what we follow because there's no execution risk so both risks are very different. Developer finance by definition has a combination of execution risk and then consequently subsequent sale risk, none of these risk in LRD and that is where we are focused on LRD. As an asset mix, you will keep on seeing that if you look at last two years mix where home loans constitute between 60% to 64% which is what it will remain because that is the constant which is not changing the balance portion between LAP, LRD and DEF. With DEF upper cap would be close to 10%, 12% even when we mature as a business because we would not want to cross around 12% kind of number in developer finance, but balance between LAP and LRD is the number where we will keep on moving around. Based on our assessment, as of today our assessment is if we have to do an honest assessment of the LAP rates rate of interest in the market versus LRD rates and the risk profile we are better off doing LRD rather than doing any LAP. Based on today's risk returns on the pricing available in the market.

Kunal Shah: Okay. And our rates and our yields on LRD would be competitive with respect to the markets or we would be lower given the profile?

Sandeep Jain: We have on boarded; we are we are working with almost all the top market developers in the country. So, it is a very competitive industry because if a product has been absolutely considered to be safe in the industry, then the pricing is very fine, and we compete with all the large players.

Rajeev Jain: Super primetimes, super….

Kunal Shah: Okay, sure. And a fee income would be related to that in terms of a higher disbursements towards the segment?

Rajeev Jain: Fee income was a onetime income in terms of an assignment income 109 crores, that's where the fee income is a income appearing in the quarter result that's basis the assignment of a 950 crore LAP portfolio that is a income generation because as per India standards we have to book income upfront. So, that's the fee income which is reflected.

Moderator: Thank you. Next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Just one question for Sandeep, firstly what percentage of your bank borrowings would be repo linked versus MCLR linked and are you seeing banks now moving back towards NCLR linked loans as liquidity drives up?

Rajeev Jain: So, Piran we are not seeing significant shift happening in terms of mix of repo and MCLR incrementally, just because rates are going up. In fact, in the last quarter as well, we have got lots of approvals from bank linked to MCLR. And banks are taking, even today banks are taking time in terms of passing on the cost increase in MCLR, because savings, interest has not gone up. So, that's the thing and in BHFL we do have repo link borrowing from banks because they also have a natural hedge in terms of home loan being linked to repo link, and e-bill.

Sandeep Jain: We generally prefer to borrow in repo link or EBLR link rather than MCLR.

Rajeev Jain: In BHFL contribution of repo link bank borrowing is lower.

Sandeep Jain: And contribution of bank borrowing itself is lower, between bank market and deposits which are all locked in.

Piran Engineer: Understood. And if you could just give some color on, you are new to Bajaj customers, but customer acquisition is very strong this quarter. So, out of these 2.7 million, let's say how many are new to credit, if they are not, then what is their average CIBIL score, are you acquiring them through point of sale or through the app, any color on the profile of customer you are acquiring**?**

Rajeev Jain: So, principally as you saw 522,000 customers in the quarter game from the insta EMI card, only 10% of customers that are in what I would call that we did not want, we wanted to, rest we wanted them to become a customer. So, we stimulated using a web ecosystem or the app ecosystem as you saw the numbers. If the client is coming for EMI card only or at point of sale it could be zero minus one or 750. We don't do in between other than some other designs or experiments, or DOEs, as we call them that we may run, but otherwise very, very little. So, it's 750 it could be zero or minus one, which is really where new to credit comes in. So, in general, 60% of the customers 60%, 65% of the customers for many, many years have been below 750 and above and balance are new to credit. So, 30%, 35% are new to credit at a design level 60%, 65% are bureau 750 and above it's not changed materially over time.

Piran Engineer: And, just to clarify one last thing, 37,000 employees that is on roll plus off roll or?

Rajeev Jain: It's on roll.

Piran Engineer: So, you have added 6000 employees this quarter roughly?

Rajeev Jain: Did we say 31,000?

Piran Engineer: We got this in your annual report?

Rajeev Jain: Consol, are we doing April to April?

Piran Engineer: That's my question.

Rajeev Jain: Yes, so 37,000 is consol. The console to consol, I don't think the number is 6000. So, there's something wrong. We you could be wrong, Sandeep will clarify it to you, because we have published the number in annual report we started to give this number, but we did not add 6000 that I can tell you, so it could be a typo error, I am not saying it is but it's possible.

Moderator: Thank you. Next question is on the line of Rahul from Goldman Sachs. Please go ahead.

Rahul: Just had two or three questions, first, just getting the usual stuff out, the liabilities management so, you talked about gradual increase in cost of funds. And the ALM table that you gave out is behavioral based. So, fair to say that the margin should not really see any undue pressure because of increasing cost of funds?

Rajeev Jain: Yes, not for the next three odd quarters, you will see gradual movement. And we are also incrementally passing through all new acquisition, as I said we have raised by 25 to 40 basis points depending on the business and as rates keep rising will gradually pass them ahead, so yes.

Rahul: Okay, that's helpful Rajeev. The second is again on fee income keeping this, talking more at the console level can we understand what proportion would be more balance sheet or disbursal linked, what portion be from third party and then given that some of these digital properties are going live, have we seen any material shift on the PPD side, which is driving the fee income.

Rajeev Jain: Rahul read it as quarter three 19-20. Look at these numbers as that, this is increasingly and reason I'm making the point is, even in Q2, Q3 last year we still had, let's say IPO financing income sitting there. Now, there's nothing sitting there, there's no lumpiness these are pure flow-based business, these are pure flow. This is a normalized quarter from all lines, actually last two quarters have been but in Q4, because 15 odd days were lost to Omicron. So, there is still some noise, but now this is a fully normalized P&L frame is what my point is, Sandeep you can provide some color.

Sandeep Jain: As reasonably granular we have multiple heads in which fees and commission is recognized and received. It is feasibly granular, and this is purely the fact as Rajeev said, as we are coming out of pandemic and we are getting into normalcy, this number also is getting normalized.

Rahul: Rajeev, just going back to one of the statements that you made that, the competition across different segments is inching up. You are seeing that in the sale financing business or even credit card, et cetera. But when I look at, our own numbers, excluding mortgages, the ROAs are now north of 6%, versus 4.5% pre COVID. So, does it mean that structurally profitability has moved up in the businesses that we are doing and therefore the competition if that is inching up it is more than enough for everyone to sort of grow and yet make enough profits?

Rajeev Jain: I don't know about others, we are mining more and more of our customers, we are going deeper and deeper into India. We're just keeping our head down and are at work. So, when I say competitor intensity is more intense. We have also done leverage analysis that we make a point. Interestingly, nobody has asked the question the competition is increasing, leverage is increasing, then we looked at the retro data of 2019 franchise to today, we are actually not seeing material movement at all, on our franchise. Not at all actually, adjusted for 6%, 7% inflation, we're not seeing movement across the unsecured portfolios, any material movement at all. So, whether this pays for all or not, or so on and so forth, Rahul we have a point of view on, we remain quite small. And as I said, other than the sales financing part of the business we are very dominant. So, there's tremendous opportunity in every line for us to make a difference. Now, coming back to, so clearly, one of the structural changes, if you see and we provide the ten-year

data. That's an important point I must make, so have we done a good job of it in the last one and a half year to make sure that we will bear the benefit of it. Now in the next three quarters and going even to some extend into next fiscal yes, that's why we are accelerating deposits, while it was pressure on OPEX but our average deposit, they are now 33 months. We are now originating between 1700 and 1800 crores of retail deposits on a month-on-month basis. That's locking in for 33 months, maturity is 7.1%. So, we are doing a few things on the liability side, which should then by the time I'm hoping Rahul that someday the operating leverage part which is one of the earlier questions were asked and I responded by the time we should have hopefully found magic or one in most of the products and services and that should mitigate principally or theoretically when normalized call happens. By the time I should get operating leverage, or we should get operating leverage in the business on the OPEX side, that's how we are looking at the business and the business model will take time.

Rahul: So, basically, the underlying is 6% ROA, there are enough and more levers within the frame to sort of continue with?

Rajeev Jain: Consolidated ROA, I won't look at standalone ROA, I would look at consolidated ROA, we used to be at 4.7% exiting, that was also an ever high in December 19 quarter, our guidance is 4.4 to 4.7. The current year will look higher, it's looking reasonably clear, will long term guidance change, we will take a view end of FY23 at this point in time we are holding the guidance. Once we are holding the guidance, the next three quarters there will not be material reduction.

Rahul: Small last question Rajeev if I may, on the mortgage business, how much have we invested so far, what are the requirements in terms of capital infusion going forward, and if at all, we plan to monetize the investment in this business?

Rajeev Jain: So, 7,500 crores is the total investment in the, so that's just about close to billion dollars. They are now well capitalized for 90,000, they're well capitalized for 100,000 crore that gave them a NAV as BFL provided two-year capital, so they don't even need capital for next two years. And we take a view on unlocking and so on and so forth at appropriate point in time. As consolidated, our design is consolidated, unless and until regulation require us to is what I would say.

Sandeep Jain: If I can cover the previous one point on employee headcount. We had 35,400 employees as of 31st March as per annual report and we are at 37,873 consolidated headcounts as on 30th June that's addition of 2400.

Moderator: Thank you. Next question is from the line of Saurabh from JP Morgan. Please go ahead.

Saurabh: Following up on this competition point, are you facing some pressure on the sales finance business from likes of Pine Labs or Paytm, using force financing to do EMI generation, and what's your view and have you seen your counter market share kind of get affected because of that. Thank you, sir.

Rajeev Jain: We remain as I said, even AGM saw that between 65% and 68% of manufacturers of subvention pool NCD between 55% to 57% manufacturers subvention pool in digital, lifestyle only we play. We keep staying in the corridor, we are very clear that business is for two reasons. One is for customer acquisition, two for margin profile, actually during this period, our margin profile has expanded, let me make that point. And as I keep saying whether for that business or for any business, it's margin first, growth later because margin saved us through the last two years of close to fatal crisis that we went through. So, we track them every month, no material change, as I said, also we are very deep, let me make the point. So, all this noise is in 20 cities, 30 cities, farthest it goes is 40 cities. We offer this in 3504 cities, and we'll add as I said 400 odd cities or towns this year further. So, that's also one of the drivers for margin expansion it needs significant controllership orientation you need to perfect the model of how to open branches and how to scale them and how to ensure controllership is not lost, credit metrics are better. So, this whole conversation is of 30, 40 cities, but do they represent 50% of the business answer is yes. Do these 40 cities represent 50% of the business and do the balance 3504 minus or 3586 minus 40, which is 3543 represent the balance 50 the answer is yes. So, we are making them up in different way, does that answer your question?

Saurabh: Yes, party sir. Just one more question sir, this Bajaj Mall business, what is the sourcing you are getting at Bajaj Finance from Bajaj Mall yet?

Rajeev Jain: We have provided data, so if you see on that panel only of where we've provided data, slide #13, 645,000 loans came through Bajaj Mall.

Saurabh: No but sir in value terms, how much will it be?

Sandeep Jain: Value doesn't change.

Rajeev Jain: So, you should assume this value to be 23,000 tickets size. So, 6,45,000 into 23,000 that's how you should read it as.

Moderator: Thank you. The next question is from the line of Dhawal Gada from Aditya Birla Sunlife Asset Management. Please go ahead.

Dhawal Gada: I just had a couple of questions. One being if you could talk about the SME lending piece and also our B2C business. I just wanted to understand how are you seeing things or trends on the ground in terms of growth and what could be prospect in these two segments?

Sandeep Jain: So, happy at least somebody is interested in the boring businesses, they do generate results.

Dhawal Gada: IR businesses.

Rajeev Jain: Yes, so principally look, the SME lending business, the denominator itself is expanded, what we call it, we are not in SME we are an MSME. I must clarify that sometimes we will change that SME itself is, MSME people with turnover between 2 crores to 15 crores that's really plus minus,

our segment is 65%, 70% of them are traders, balance are manufacturers. Clearly inflation has helped traders' number one, so the denominator is itself with a lot more people are now doing this business the denominator itself has expanded so that one part. The denominator in this business already existed, people who are not willing to serve, I'm still not sure they will be able to serve for long but we will let, because we've seen too many people come into the business and gone away after six months, nine months, 12 months, 15 months, we and one of the other leading lenders are the ones who stayed on for the last 12, 13 years. So, that's one point I must make. So, denominator has expanded, a lot more people are providing services, inflation is requiring greater working capital for MSMEs, our segment is two to 15 crores, we given very strong domain that you have created over the last 15 years the business is growing quite well. Having said that its contribution as you can see on aggregate basis 13 has remained 13 so all are growing and so are they. And we are very deep in this business. We don't do this in top 30, 40 cities we do it in 1800 cities in India, so this is very deep, we have built a degree of competence and capability in this business which is quite strong I would say after B2B business this is one business where we build tremendous domain competence and that's why we have survived through cycles in this business and growing dominator eventually will help us as well because more people are sharing the burden of growing. I just hope it's not a false dawn for competitors because this business can grow at all zones.

B2C mostly cross sell, we stay with top of the funnel, mind the franchise, run campaigns, keep going along it's a boring business, but needs a high level of efficiency and high level of risk management capabilities, high level of data management capabilities, campaign –**1:04:08** capabilities and we do this for a living, so we are at it.

Dhawal Gada: Sure. Also one question on EMI cards business basically we now have more than 32 million EMI card already been given, what could be the potential year and any metrics you would suggest that if at all there are two loans on the same EMI card for the same customer?

Rajeev Jain: Sorry EMI card 33 million.

Dhawal Gada: What I'm asking is, the EMI card one is your potential, how many more customers you think can take the EMI card because looking at your across sellable franchise where customers want to do business. And second is, how many customers or EMI card holders have more than two loans or more than one loan running right now?

Rajeev Jain: Our loans or in market loans?

Dhawal Gada: Our loans, only Bajaj loans?

Rajeev Jain: Our loans would be 10%, 12% of the franchise, which means that at a point in time, one customer running two loans, he could be running a CD or a personal loan or a home loan, 10% 12% of the franchise. 88% of the franchise would possibly be running on product at a point of time. Okay, credit card if you added maybe number will be 15%, 18%. On 34 million it will be 20%, 22%, on 34.66 million number will be 22% to 25%. So, number would be 25% would be running

multiple products, multiple products. 23 million are running one product today. He is asking two products of the 34.66, so to the point Kurush is making, let me make the point clear, we have 35 million best customers as we call it, 60 million total customers, best customers 34.66. We are banking today 23 million customers, if I take a unique customer view, it'll probably be 18.5, 19 million customers would be unique, plus minus given and take between 18.5 million would be unique banking.

Dhawal Gada: And just to reconfirm today we have 34.66 million cross salable franchise, as we classify, and we have close to 32.8 EMI card holders as well. So, largely the penetration level is done in this piece, the EMI card so now new franchise addition will only be the potential EMI card holders. Is that right understanding?

Rajeev Jain: Your understanding is correct Dhawal, most of the customers who purchase electronics do offer EMI card, we do have reasonably decent penetration of customers taking loan from us also buying EMI cards, the number that we report is net of those which have been blocked or closed. This will represent in a way cross referencing.

Dhawal Gada: Yes, because I see a very strong growth versus our last couple of years in the people who already have EMI card and also if I tally that number with a cross sellable franchise.

Rajeev Jain: Correct.

Moderator: Thank you. Next question is from line of Param Subramanian from Macquarie Group. Please go ahead.

Param Subramanian: Rajeev if, I could ask you given the data on disbursements in the B2B segment, what would it be for a pre pandemic date 1Q FY20 perhaps, what would this run rate have been then?

Rajeev Jain: So, we used to provide sometimes the number of the block. Two, things have happened Param the value share has grown much, much faster, that's part of it is inflation, manufacture prices input, the value share, value growth and volume growth. I don't have the number off hand at this point in time but, we will be happy to share Sandeep can provide that data.

Param Subramanian: Sure, Rajeev. Continuing on another question from a participant so, on the cross-sale piece, now if I look at the number of loans being booked roughly 7.5 million loans being booked on a 60 million franchise in this quarter. Now, if I go back to say a pre pandemic they say 1Q FY20 three years ago, you were booking at a similar run rate. Of course the wallet loans also add to that, but we're booking 7.5 million loans even then on a 35, 36 million customer bases. So, just trying to understand the repeat customer transactions have come down on is that something to be worried about from a kind of a franchise level?

Rajeev Jain: Param, it can been seen with respect over the cross-sell franchise as well. But the fact of the matter is that the sales in the market is not necessarily driven by customer franchisee, sales is driven by the number of customers walking into the store and buying product. The penetration

level as Rajeev explained earlier has continue to remain rainfall within 68% and 70% for us. So, these are the customers who are going in the market and buying and whenever they're buying we are getting a 70% market share of those customers.

Param Subramanian: Got it. And just one last question on the omni channel data that you provided on slide #13. So, you're saying that, roughly on the digital EMI card base you're booking about 227,000 loans per quarter. Now that the digital EMI card itself has almost doubled. So, looking at the number of loans being booked, it's a bit flattish over there. Is there something that you think is going to pick up and because it's taking off this product now and got to pick up or is it something like**?**

Rajeev Jain: So, read it like, look at it like a credit card. Credit card issued doesn't mean credit card active. In fact, our activation rate on EMI card on a 12-month basis are much higher than credit card activation rates, whatever is published domain, I'm talking in public domain. So, you have to look at it that way, that customers buy in this case 522,000, we used to provide the data until last quarter, 60% of customers pay Rs.550 and buy the product. So, anybody who pays for it and buys the product, their activation rates are distinctly higher. 12-month rental we see anywhere between 45% to 50% activation rates. And we are also seeing that more customers coming onto our asset, more ease a fee-paying customer because his confidence is much higher that given whatever happened in the payments industry over the last two few years and customers have got if I may say so based on wishing, phishing, so on and so forth. So, their confidence is much higher as they come on to the Bajaj Finserv app. So, these activation rates are much, much higher than what a traditional payment product would offer. And we continue to stimulate them, there is a level of seasonality in it, but 60% paying for it itself should give a very high degree of confidence. Though he is more accretive to me, he's has not taken an asset and he is 60% of them or 520,000 have paid Rs.550, and we make money on every account on day zero. So, we are very comfortable with the conversion rate.

Moderator: Thank you. The next question is from line of Subranshu Mishra from UBS Group. Please go ahead.

Subranshu Mishra: The first question is from the annual report, at the first year where we've seen a lot of Board members going out almost like three or four which has for the first time in the last 13, 14 years. So. is this like a precursor into any further management changes, and if there are do we see you getting into a non-executive role, that's the first part first question. Second is that, thanks that we've diversified into non captive two wheelers, but then for a long period, we have been talking about data analytics and pre-approved offers. So, why can't we have pre-approved offers for utility vehicles?

Rajeev Jain: Question is on commercially vehicle right?

Subranshu Mishra: So, what I was asking is that, why have we diversified into other vehicle format, for example we can do a cross sell and a pre-approved offer for our rural customers who can buy utility vehicle and car loans for our urban customers again, we can use data analytics and cross sell. That's the second question I have.

Rajeev Jain: So, at Board composition and management composition we are not connected. Board composition is changing, I would say a generational shift is happening is how you should look at it. So, that's the response to the first question. On CV, we so far have a retail consumer view rather than a productive asset view. We do it only in our capture business where we do three-wheeler financing that for captive reasons. And for legacy reasons, otherwise so far we don't have a commercial vehicle view. Do we have a new auto loans view, answer is yes? We've just kicked off the non-captive two-wheeler business, sometime in FY24 we will launch even the new auto loans business, which is the last product quote, unquote or the final product that we will launch on the retail side. Our customer, use car we already do to the point and we are making in last four years we are doing use car, as used car sales to a hopefully have a billion dollars balance sheet by end of the year. We should, that makes money, new autos take much longer to make money. And then we'll venture into what takes longer to make money. So, that's really how we are, so new autos is part of the plan sometime in 24. CV is not in our plan.

Subranshu Mishra: One question still remains unanswered. What happens if you move into a non-accretive role to the entire plan?

Rajeev Jain: I just got my shareholders were reappointed for five years as Managing Director, so I'm here, at least based on the approval of the shareholders. I'm very much here. And we have a deep management bench, and we have a comprehensive succession planning.

Moderator: Thank you. Next question is from line of Manjiri from SBI Life Insurance. Please go ahead.

Manjiri: I have just two, three questions. One regarding the composition of your AUM, could you take us through your perception of the risk profile and mitigation on the auto finance which Q-o-Q there is a de-growth is there a conscious de-growth or a slowdown. And loans against securities there is a jump of 72% June-on-June so, if you can give some flavor on that and regarding deposit, so what is the percentage of public deposits in it?

Rajeev Jain: Deposits, public deposits is 70% and corporate deposit is 30% plus minus 1% or 2%, that's one. Loans against securities, there is normally something as lumpiness, is related to market, is volatile at times. So, I seen this portfolio go to in 2018 to 8000 crores went down to 3000 crores in March 20. So, we are amongst the largest LAS lenders in India. It's good business, profitable business and we are dovetail into the HNI broking business that we are building and so on and so forth. So, it's just volatile based on market volatility, rather than anything else. As we would like it to not be volatile. We would like it to be one way but doesn't work that way. Management assessment or assurance on risk portfolio quality, as you can see in the portfolio quality panels, which is panel 47. Panel 53 and 54 and 55 and we've provided nine, 10 quarter data that should, two-wheeler and three wheeler we would as I said are green, this is the only one which is yellow and it would get green at 90%, because while based on February 20, it should be green, but that's not how it was not in the best of health, even in February 20.

Manjiri: Okay. Another question regarding the rural segment. Is the growth more like growth due to the ticket size of the borrowers, are they borrowing more per individual, or it is brought more on the

number of centers added. One last question on the LCR, that it has grown from 134% in March quarter to 196% in June. So, any reasons for that and it's a conscious uptick cyclic, if you can elaborate on that please?

Rajeev Jain: We continue on LCR, we have consciously been keeping much higher liquidity in the balance sheet. And that is the reason why you're seeing this number increase in the current quarter. So, it's by design than anything else. We have been able to raise decent amount of long-term money from money market as well as from banks in the current quarter. And the surpluses that we have raised during the quarter has also deploy for HAR purposes

Manjiri: Thank you. And regarding the rural segment, you're seeing growth for the number of centers, that is propelling the growth, or the ticket size is increasing?

Rajeev Jain: So, we don't look at the ticket size that way, ticket size adjusted by inflation has remained flat. So, it's mainly locations and deepening the locations that we are in. In general location kicks in from a maturity standpoint at 21 to 24 months.

Moderator: Thank you. I now hand the conference over to Mr. Sameer Bhise for closing comments.

Sameer Bhise: Thank you everyone for joining this call today. And thank you to the leadership team of Bajaj Finance Limited for giving us this opportunity. That ends the call, thank you so much.

Rajeev Jain: Thank you all, good night.

Moderator: Thank you very much. On behalf of JM Financial Services Limited that concludes this conference. Thank you for joining us, you may now disconnect your lines. Thank you.